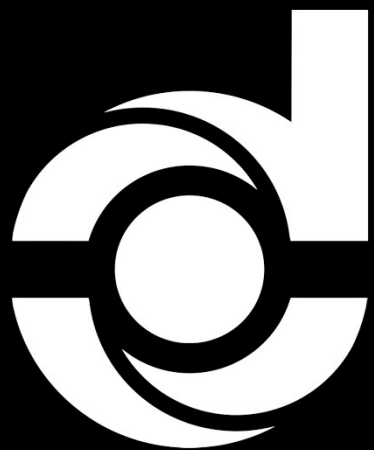




Donaldson®
FILTRATION SOLUTIONS

'Advancing Filtration for a Cleaner World'





Donaldson.
FILTRATION SOLUTIONS

'Advancing Filtration for a Cleaner World'

Analysts:

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LIBOR

Little Investment Bankers of Rutgers

BENDER TRUST



INDUSTRY ANALYSIS



Donaldson Industrial Filtration Services



Industry Overview – Global Filtration and Industrial Separation

- **Donaldson** operates in the global filtration & separation market (~\$100B+).
- **Mission-critical** products for industrial, mobile, life sciences, and high-purity applications.
- **Demand** driven by regulation, clean-air standards, and industrial expansion.
- **Fastest** growth from semiconductor, EV battery, biotech, and pharma filtration needs.
- **Industry** built on recurring aftermarket replacements with high switching costs.
- **Fragmented** competitive landscape favoring specialized, high-performance providers



*Donaldson
Baghouse*



COMPANY DESCRIPTION

COMPANY
DESCRIPTION



Founded by Frank Donaldson Sr. in 1915

~\$3.5 billion in revenue (FY2024)

Market Cap: **\$9.8 Billion** (November 2025)

~14,000 employees worldwide

Operates in **40+ countries** (manufacturing, distribution, and technical centers)

Business Model:

Industrial Solutions – dust collection, air filtration, process filtration

Mobile Solutions – engine and off-road filtration (aftermarket + OEM)

Life Sciences – bioprocessing, food & beverage, microelectronics



Donaldson Hydraulic Filters

Porter's Five Forces

Donaldson Hydrogen Fuel Cells



Threat of New Entrants – Moderate to Low

Specific filtration products – Hard to replicate
High economies of scale

Supplier Power – Moderate

Highly differentiable inputs
Multiple input suppliers

Buyer Power – Moderate to High

Interchangeable filters

Threat of Substitute – Moderate to Low

“Will-fit” options
High research times

Degree of Rivalry – Moderate to High

Many competitors
Low switching costs



Ronaldson Safety



Donaldson Fixed-Wing Industry

Risks & Mitigants



1. Cyclical End-Market Exposure

Risk:

Donaldson's engine and industrial segments are heavily exposed to the construction, mining, agriculture, and transportation industries. These sectors are all cyclical and sensitive to global capital spending and commodity cycles. A slowdown or contraction in OEM production would pose pressure on company margins.

Mitigant:

Donaldson's sizable aftermarket business provides consumers recurring replacement demand in their products, which partially cushions cyclical downturns. The company's global exposure across geographies and end markets also limits reliance on any one market.



2. Raw Materials and Supply Chain Volatility

Risk:

Filtration products depend on metals, resins, and specialty media, exposing margins to raw material price spikes, shipping disruptions, and tariffs. Global supply chain constraints or trade policy shifts could inflate costs or delay delivery times.

Mitigant:

Donaldson actively manages supplier diversification, sources with multiple arrangements, and uses selective hedging to battle cost volatility.



A female scientist with dark hair, wearing a white lab coat and clear safety goggles, is focused on her work. She is using a piece of scientific equipment, possibly a microscope or a precision measurement tool, which has a blue light source. The background is a blurred laboratory environment with various pieces of equipment and a blue ambient light.

*Donaldson Innovator |
About Donaldson*

S.W.O.T ANALYSIS

Strengths:

- Strong position in global filtration with **high switching costs**.
- Large **recurring aftermarket** revenue base.
- Diversified end markets: industrial, mobile, life sciences, microelectronics

Weaknesses:

- Exposure to **cyclical industrial and engine OEM demand**.
- Slower growth in legacy engine/mobile segments.
- Limited pricing power in commoditized filtration categories.

Opportunities:

- Rapid expansion in **high-purity and life sciences** filtration (high-margin).
- Growth from **semiconductor fabs** and **EV battery plants**.
- Increasing global clean-air and emissions regulations.
- Strategic M&A in specialty filtration.

Threats:

- Competition from Parker-Hannifin, Eaton, Pall, MANN+HUMMEL.
- Industrial downturns compress OEM volumes.
- Customer consolidation increases buyer power.
- Technological shifts reducing demand for certain legacy engine filters.





Financial Analysis

An Array of Donaldson Products





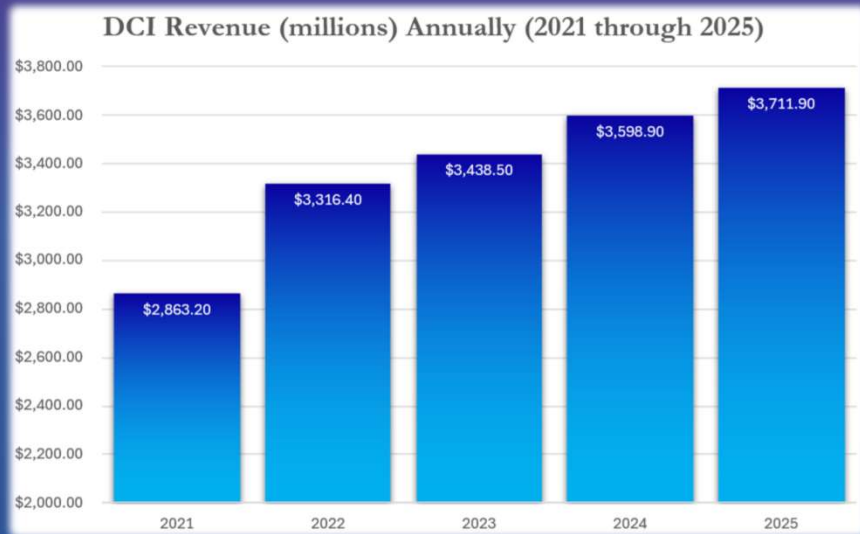
Donaldson®

Financial Statements on Aggregate

		2015	2016	2017	2018	2019	2020	2021	2022	2023	2024	2025
Revenue	\$	2,386.70	\$ 2,224.20	\$ 2,384.80	\$ 2,742.10	\$ 2,851.80	\$ 2,594.30	\$ 2,863.20	\$ 3,316.40	\$ 3,438.50	\$ 3,598.90	\$ 3,711.90
Cost of Sales	\$	1,562.60	\$ 1,465.50	\$ 1,548.80	\$ 1,798.40	\$ 1,896.60	\$ 1,710.20	\$ 1,882.20	\$ 2,239.20	\$ 2,270.20	\$ 2,311.90	\$ 2,404.70
Gross Profit	\$	824.10	\$ 758.70	\$ 836.00	\$ 943.70	\$ 955.20	\$ 884.10	\$ 981.00	\$ 1,077.20	\$ 1,168.30	\$ 1,287.00	\$ 1,307.20
Gross Margin		34.53%	34.11%	35.06%	34.42%	33.49%	34.08%	34.26%	32.48%	33.98%	35.76%	35.22%
Net Earnings	\$	208.10	\$ 190.80	\$ 232.80	\$ 180.30	\$ 267.20	\$ 257.00	\$ 286.90	\$ 332.80	\$ 358.80	\$ 414.00	\$ 367.00
Total Assets	\$	1,809.53	\$ 1,788.60	\$ 1,979.70	\$ 1,976.60	\$ 2,142.60	\$ 2,244.60	\$ 2,400.20	\$ 2,600.30	\$ 2,770.50	\$ 2,914.30	\$ 2,977.20
Total Liabilities and Equity	\$	1,809.48	\$ 1,788.60	\$ 1,979.70	\$ 1,976.60	\$ 2,142.60	\$ 2,244.60	\$ 2,400.20	\$ 2,600.30	\$ 2,770.50	\$ 2,914.30	\$ 2,966.70
Net Cashflow	\$	(106.52)	\$ 53.30	\$ 65.20	\$ (103.70)	\$ (26.90)	\$ 58.80	\$ (13.80)	\$ (29.50)	\$ (6.20)	\$ 45.60	\$ (52.30)
Free Cash Flow	\$	543.28	\$ 356.96	\$ 207.20	\$ 383.70	\$ 536.50	\$ 430.50	\$ 520.60	\$ 367.90	\$ 863.10	\$ 481.60	\$ 527.20
EPS	\$	1.51	\$ 1.43	\$ 1.76	\$ 1.38	\$ 2.08	\$ 2.03	\$ 2.27	\$ 2.69	\$ 2.95	\$ 3.42	\$ 3.09
P/E Ratio	\$	22.55	\$ 25.44	\$ 27.29	\$ 34.98	\$ 24.36	\$ 24.13	\$ 29.58	\$ 20.47	\$ 21.64	\$ 22.16	\$ 23.61
EBITDA	\$	381.70	\$ 355.40	\$ 417.60	\$ 460.60	\$ 473.00	\$ 438.40	\$ 489.20	\$ 547.60	\$ 580.20	\$ 655.20	\$ 615.90
Debt to Equity	\$	0.75	\$ 0.74	\$ 0.72	\$ 0.64	\$ 0.72	\$ 0.71	\$ 0.49	\$ 0.61	\$ 0.54	\$ 0.40	\$ 0.50



Historical Growth



- **Compound Annual Growth Rate (CAGR) of 6.68% (Past 5 Years)**
 - **Global industry standard is projected to be at about 4.6% CAGR from (2025-2033)**
 - **DCI comfortably beating these numbers**



Projections & Outlooks

1. R&D Projection

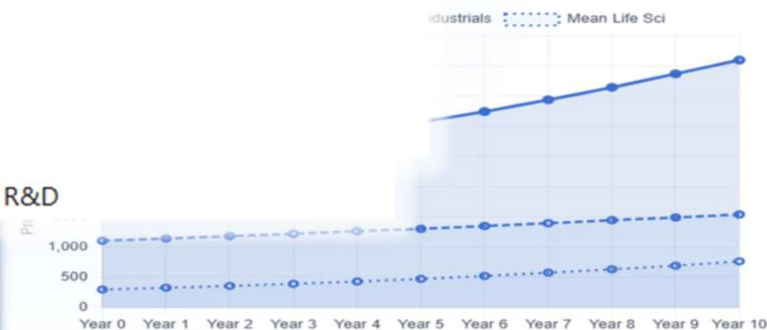
$$R(t) = L_{LS} R_0 \left(1 + \frac{1}{R'(t_0)} \right)^{(t-t_0) \Delta_R}$$

Where:

- $R(t)$ = projected R&D at time t
- L_{LS} = implied life sciences multiplier
 - R_0 = last historical R&D level
 - Excel: AD34
 - $R'(t_0)$ = estimated derivative (rate of change of R&D w.r.t. time at t_0)
 - Excel: `SLOPE($T$34:$AD$34, $T$14:$AD$14)`
- t = target time (projection point)
 - Excel: D105
- t_0 = base time (last historical period)
 - Excel: AD14
- Δ_R = last observed proportional change in R&D



		2026	
Revenue	\$	3,800.00	\$ 3.9%
Net Sales	\$	3,815.77	\$ 4.0%
Sales from Mobile Solutions	\$	2,441.28	\$ 2.5%
Sales from Industrial Solutions	\$	1,050.15	\$ 1.0%
Sales from Life Sciences	\$	324.34	\$ 3%
Other Income	\$	10.91	\$ 1%
Cost of Sales	\$	2,470.00	\$ 2.5%
Gross Profit	\$	1,330.00	\$ 1.3%
Gross Margin		35.00%	3%
Operating Income	\$	529.60	\$ 5%
Operating expenses	\$	800.40	\$ 8%
Research and Development	\$	95.09	\$ 1%
Selling, General and Administrative	\$	705.32	\$ 7%
Income Taxes	\$	(126.350)	\$ (13)
Interest Expense	\$	(19.46)	\$ (1)
Net Earnings	\$	383.79	\$ 4%



Advanced Revenue Simulation
(click me)

Valuations

 EV / EBITA Valuation Summary		
EBITDA	\$	615.90
Multiple		20.12
Total Enterprise Value	\$	12,391.91
(-) Debt		668.3
(+) Cash		1,461.7
Total Equity Value	\$	11,598.51
Shares Outstanding		115.83
Implied Share Price	\$	100.13
Current Price (11/16/25)		85.57
Upside (Downside)		17.02%

 EV / Revenue Valuation Summary		
Revenue	\$	3,711.90
Multiple		4.49
Total Enterprise Value	\$	16,666.43
(-) Debt		668.3
(+) Cash		1,461.7
Total Equity Value	\$	15,873.03
Shares Outstanding		115.83
Implied Share Price	\$	137.04
Current Price (11/16/25)		85.57
Upside (Downside)		60.15%

 P / E Valuation Summary		
EPS	\$	3.09
Multiple		36.74
Total Enterprise Value	\$	12,356.39
(-) Debt		668.3
(+) Cash		1,461.7
Total Equity Value	\$	13,149.79
Shares Outstanding		115.83
Implied Share Price	\$	113.53
Current Price (11/16/25)		85.57
Upside (Downside)		32.67%

Investment Thesis



BUY

Donaldson, with over a century of experience, strong global relationships across 40 countries, and thousands of patents, has established itself as a resilient and highly profitable leader in the filtration industry. Its ability to adapt, innovate, and scale with emerging technologies positioned the company for continued growth, rising valuation, and long-term investor appeal.

THANK YOU

Donaldson Oil & Gas



Donaldson.[®]
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